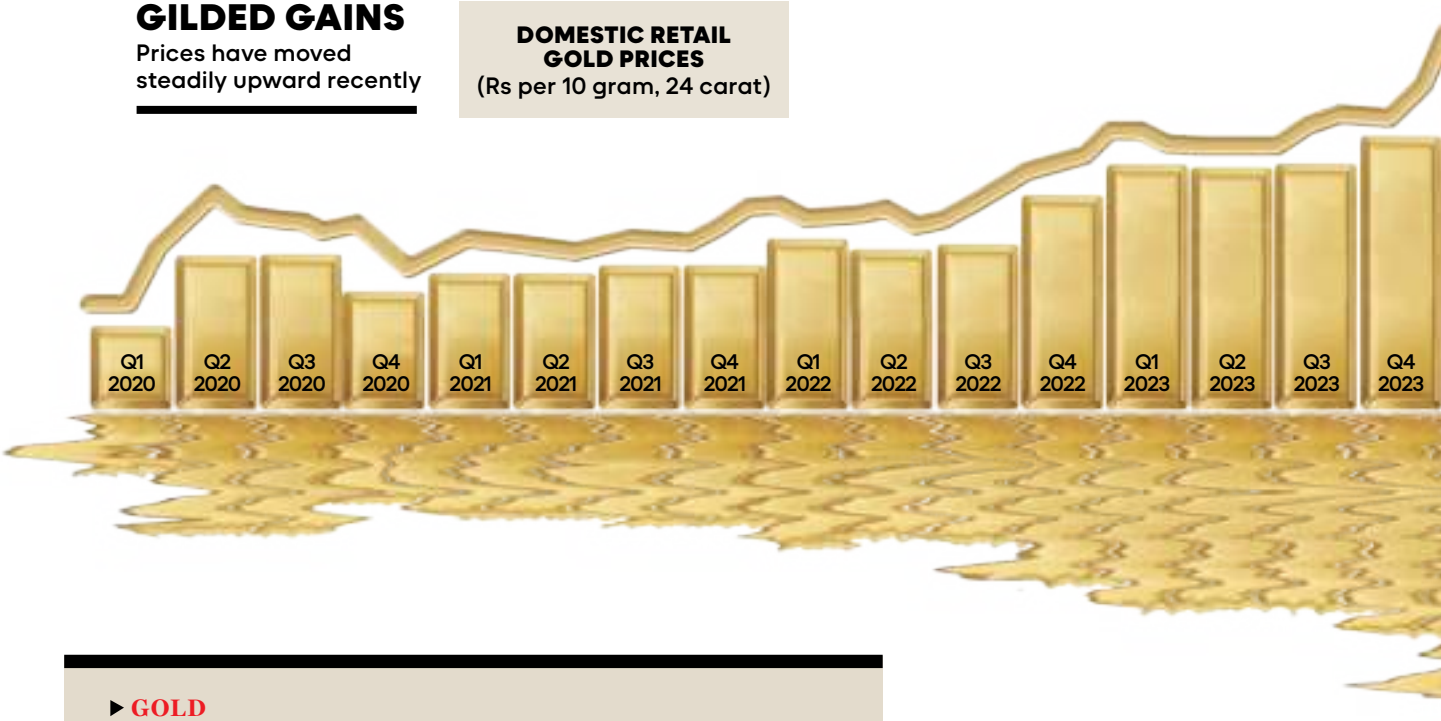
UPFRONT

INDIA-PAKISTAN: WATER WARS *PG 10* | **VIEWPOINT: INDIA'S CHINESE PUZZLE** *PG 14*

GILDED GAINS
Prices have moved steadily upward recently

DOMESTIC RETAIL GOLD PRICES
(Rs per 10 gram, 24 carat)



▶ GOLD

BULLION BOOM

Gold prices skim Rs 1 lakh for the first time, fuelled by global turmoil. Investors bask in the glow, but jewellery retailers may see a temporary dip in sales

By M.G. Arun

Gold casts its glow on all of India's gilded centuries, but the 21st century has arched up like the proverbial rainbow. From a tinny Rs 4,400 for 10 grams back in 2000, it grew five-fold to Rs 20,728 in a decade, took the escalator to Rs 50,151 by 2020, and had crested Rs 78,245 by last year. A stormburst of geo-economic uncertainties has done no harm to the safe-haven asset thereafter. By April 2025, gold has executed a balletic leap all the way to Rs 1 lakh—a historic high breached for the first time. It dipped a bit later, but nothing is likely to dim the allure of the yellow metal soon. For, in a global landscape roiled by trade wars, gold has implicitly reclaimed its psychological status as currency.

What studded its stunning rise is, of course, Donald Trump's tariff tsunami. The most proximate trigger came with the US president's salvos on Federal Reserve Governor Jerome Powell. On April 17, he said Powell's dismissal "cannot come fast enough", an index of his desperation to see the Fed cut rates. What came fast enough was action in the Mumbai bullion market: the price of 24-carat gold surged to Rs 1,01,350 on April 22. The zones it hit were stunning even on short-term comparisons: a nearly five-fold jump from Rs 24,740 in 2015, and over double from Rs 48,500 as recently as FY22.

'BIRD OF GOLD'

This exponential boom in bullion has special resonance for Indian households. They hold over 40 per cent of their non-property wealth in gold, compared to just 5-6 per cent in equities. India is the world's second-largest gold consumer after China, with annual demand ranging between 700 and 800 tonnes. Of this, around 66 per cent goes into jewellery. Bars and coins—i.e. pure investment—account for the rest.

A PwC India report in August 2024

Graphic by **TANMOY CHAKRABORTY**